Plaintiff's Motion to Compel Further Responses to Requests for Production of Documents is **GRANTED**. Sanctions of $2,250.00 are imposed in favor of Plaintiff Perry against Advanced Crisis Solutions, Inc. No proposed order was lodged as required by Local Rule 5.17(D). Plaintiff is directed to prepare the order.

THE PEOPLE OF THE STATE OF CALIFORNIA VS. $52,000.00 USD CASH
CASE NUMBER: 26CV-0209676
Tentative Ruling on Order to Show Cause Re Dismissal: An Order to Show Cause Re: Dismissal ("OSC") issued to Claimant Jared McGinn, in pro per, for failure to timely prosecute. No response to the OSC has been filed. Claimant's Claim Opposing Forfeiture is DISMISSED. This matter is set for review regarding status of default on **Monday, October 5, 2026 at 9:00 a.m. in Department 64**. No appearances are necessary on today's calendar.

WARDLE VS. HILL COUNTRY COMMUNITY CLINIC
CASE NUMBER: 25CV-0207783
Tentative Ruling on Demurrer to Fourth Amended Complaint: Defendant Hill County Community Clinic (HCCC) demurs to Plaintiff Christopher Marvin Blake Wardle's Third Amended Complaint. Specifically, Defendant asserts that the cause of action for: 1) Breach of Public Contract and Retaliation; 2) Breach of Contract and Fiduciary Duty Regarding Grant Management; 3) Breach of Fiduciary Trust (Public); 4) Breach of Implied Contract; 5) Breach of Covenant of Good Faith and Fair Dealing; (17) Breach of Mandatory Duty (Gov. Code 815.6) fail to state facts sufficient to constitute a cause of action pursuant to CCP § 430.10(e). Plaintiff opposes the demurrer.

Merits: A demurrer can be used to challenge defects that appear on the face of the complaint or from matters that may be subject to judicial notice. *Blank v. Kirwan* (1985) 39 Cal. 3d 311, 318. A demurrer should be sustained if the complaint fails to "state facts sufficient to constitute a valid cause of action." CCP § 430.10(e). The Court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." *Hood v. Hacienda La Puente Unified School District* (1998) 65 Cal. App. 4th 435, 438. No matter how unlikely, a plaintiff's allegations must be accepted as true for the purpose of ruling on a demurrer. *Del. E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal. App. 3d 593, 604. A plaintiff must plead ultimate facts that acquaint the defendant with the nature, source and extent of plaintiff's causes of action. *Doe v. City of Los Angeles* (2007) 42 Cal. 4th 542, 550.

On May 11, 2026, the Court sustained Defendant's Demurrer as to causes of action 1-5 of the Third Amended Complaint on the grounds that they failed to state sufficient facts to constitute a cause of action. Plaintiff filed a Fourth Amended Complaint ("4AC") alleging 18 causes of action. Defendant argues that Plaintiff lacks standing to assert causes of action 1-5 and 17, which all arise out of HCCC's administration of a grant from California Department of Public Health (CDPH).

Plaintiff is not a party to the grant contract. Plaintiff argues he has standing to enforce the contract as (1) an "Ex-Officio Overseer/Principal Interest" as a supervisor over HCCC's adherence to its charitable mandate; (2) a "Public Trust Heir Interest" allowing him to challenge mismanagement of charitable assets; (3) a "Patient/Consumer Interest" in HCCC's adherence to its public health mandate; (4) a "Statutory/Ministerial Duty Interest" under Government Code § 815.6 as a member of the medically underserved class; and (5) a "Whistleblower/Accountability Interest" under Labor

Code § 1102.5 based on having reported HCCC's alleged mismanagement.

First Cause of Action: Breach of Public Contract and Retaliation A breach of contract claim requires that the plaintiff plead (1) the existence of a contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) resulting damages. (CACI No. 303.) Where the claim is brought by a non-signatory, the plaintiff must additionally plead facts establishing standing to enforce the contract, either as a party or as an intended third-party beneficiary under Civil Code § 1559.

Plaintiff does not allege he was a party to the Grant Agreement between CDPH and HCCC; he alleges only that he was hired as a Peer Health Ambassador under the program the Grant Agreement funded. To enforce the contract as a non-signatory, Plaintiff must show he is an intended beneficiary under the three-factor test of *Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817: whether he would benefit from the contract, whether benefiting him was a motivating purpose of the contract, and whether enforcement by him is consistent with the contracting parties' objectives and reasonable expectations. The Grant Agreement forecloses this showing on its face, expressly disclaiming any intent to create third-party rights or remedies. *See Clemens v. Am. Warranty Corp.* (1987) 193 Cal.App.3d 444, 452 (court may look to the parties to a contract attached to the complaint in assessing sufficiency).

Plaintiff's opposition does not dispute that he is a non-signatory or that the disclaimer exists; it instead argues that an indemnification clause running to CDPH establishes HCCC's liability to him directly. An indemnity obligation owed to the grantor agency does not establish a right of enforcement in a non-signatory third party, and Plaintiff cites no authority extending indemnity language of this kind to create third-party beneficiary status. Because the standing defect arises from the express language of an exhibit attached to the pleading, no further factual allegation can cure it. The demurrer to the first cause of action is therefore **SUSTAINED** without leave to amend.

Second Cause of Action: Breach of Contract and Fiduciary Duty Regarding Grant Management This claim requires, in addition to the standard breach of contract elements above, that Plaintiff plead facts establishing a fiduciary relationship between himself and HCCC and a breach of the duties arising from that relationship.

As with the First Cause of Action, this claim is predicated on Plaintiff's enforcement of obligations arising under the Grant Agreement, to which he is not a party and under which he has no third-party rights. To the extent Plaintiff instead grounds this claim in HCCC's status as a nonprofit public benefit corporation holding grant funds in trust, enforcement of a charitable trust or a corporation's adherence to its charitable purpose is generally committed to the Attorney General. Gov. Code, § 12598(a). Leave to amend is denied because Plaintiff's relationship to HCCC as a former Peer Health Ambassador is not a fact subject to alteration by further pleading. The demurrer to the second cause of action is **SUSTAINED** without leave to amend.

Third Cause of Action: Breach of Fiduciary Trust A claim to enforce a public or charitable trust requires that the plaintiff plead either that the trust was created for their direct benefit or that they otherwise hold a recognized special interest sufficient to confer standing distinct from the general public's interest in proper administration of charitable assets.

Plaintiff's 4AC, and his opposition, characterize this claim as resting on the public's general interest in oversight of charitable and grant assets, an interest he labels his "Ex-Officio Overseer" or "Public Trust Heir" interest. This is the kind of public interest standing that California law reserves to the Attorney General absent a special interest such as a directorship or trusteeship. *See Martinez v. Socoma Companies, Inc.* (1974) 11 Cal.3d 394, 407 (members of the public generally lack standing to sue on a contract between a government agency and a private contractor). Plaintiff has not alleged, in four iterations of the complaint, that he holds any office, trusteeship, or directorship in HCCC that would take him outside the general public. Because this is a status Plaintiff either holds or does not, no further amendment could supply it. The demurrer to the third cause of action is **SUSTAINED** without leave to amend.

<u>Fourth Cause of Action: Breach of Implied Contract</u> An implied-in-fact contract requires the same elements as an express contract, mutual assent and consideration, manifested through conduct rather than words, along with a breach and resulting damages. (See CACI No. 302.)

Plaintiff does not allege a separate implied contract independent of the Grant Agreement and his at-will employment as a Peer Health Ambassador. His theory, that his position was implicitly guaranteed through the Grant Agreement's funding period of October 2022 through April 2024, is derivative of the same public contract to which he is not a party. The Grant Agreement does not obligate HCCC to continue operations through the full funding period, and no implied promise of continued employment through a date certain is otherwise pled. Plaintiff has had four opportunities to allege an independent basis for an implied contract without doing so. The demurrer to the fourth cause of action is **SUSTAINED** without leave to amend.

<u>Fifth Cause of Action: Breach of Covenant of Good Faith and Fair Dealing</u> A claim for breach of the implied covenant requires an underlying contract between the plaintiff and the defendant, and factual allegations that the defendant unfairly frustrated the plaintiff's right to receive the benefits of that contract. *See Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1394.

Because the covenant attaches only to a contract between the plaintiff and the defendant, and Plaintiff has no enforceable contractual relationship with HCCC arising from the Grant Agreement, this claim fails for the same reason as the First, Second, and Fourth Causes of Action. Plaintiff cannot use the implied covenant to create contractual rights broader than, or independent of, the underlying agreement to which he is not a party. The defect is the same standing defect addressed above and is not curable by amendment. The demurrer to the fifth cause of action is **SUSTAINED** without leave to amend.

<u>Seventeenth Cause of Action: Breach of Mandatory Duty (Gov. Code § 815.6)</u> Liability under Government Code § 815.6 requires that (1) a mandatory, non-discretionary duty be imposed on a public entity by an enactment, (2) the enactment be designed to protect against the kind of injury the plaintiff suffered, and (3) breach of that duty proximately caused the injury. *State Dept. of State Hospitals v. Superior Court* (2015) 61 Cal.4th 339, 348.

Plaintiff's 4AC does not plead a mandatory duty imposed on a public entity by an enactment. Pursuant to Gov. Code 811.2, a "public entity" includes the state, … , a county, city, district, public authority, public agency, and any other political subdivision or public corporation in the State. The 4AC alleges HCCC is a Non-Profit Public Benefit Corporation. (The Opposition also requests that the Court take judicial notice of the Articles of Incorporation of HCCC which state the organization is a 501(c)(3) nonprofit public benefit corporation.) Further, no statutory duty is identified. Instead, Plaintiff again pleads a form of breach of contract, alleging that HCCC failed to utilize funds as described in the Grant Agreement. The inapplicability of Gov. Code 815.6 to a nonprofit corporation cannot be cured by amendment. The demurrer to the seventeenth cause of action is **SUSTAINED** without leave to amend.

Defendant's Demurrer as to Causes of Action 1-5 and 17 of the Fourth Amended Complaint is **SUSTAINED** without leave to amend. No proposed order was lodged as required by Local Rule 5.17(D). Defendant shall prepare the order.

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9:00 a.m. Review Hearings

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CARTER VS. CUSTER, ET AL.
CASE NUMBER: 25CV-0208056

This matter is on calendar for trial setting. Both sides have filed status statements which request a 90-day continuance to attempt mediation. Today's hearing is continued to **Monday, November 2, 2026 at 9:00 a.m. in Department 64** for trial setting. No appearances are necessary on today's calendar.

HEARN VS. KONDYBE, ET AL.
CASE NUMBER: 25CV-0208638

This matter is on calendar for review regarding status of responsive pleading. Defendants filed their Answer on June 3, 2026. The matter is at issue. This matter is set for trial setting on **Monday, September 21, 2026 at 9:00 a.m. in Department 64.** Plaintiff is to give notice. No appearances are necessary on today's calendar.

LEWISTON COMMUNITY SERVICES DISTRICT VS. SUDA PROPERTIES, LLC, ET AL.
CASE NUMBER: 25CV-0208034

This matter is on calendar for trial setting. The Court designates this matter as a plan II case and intends to set the matter for trial no later than December 8, 2026. Neither side has posted jury fees. The parties are granted 10 days leave to post jury fees. A failure to post jury fees in that time will be deemed a waiver of the right to a jury. The parties are ordered to appear to provide the Court with available trial dates.

LVNV FUNDING LLC VS. ROBBINS
CASE NUMBER: 24CVG-01953

This matter is on calendar for review regarding status of the case. Notice of Conditional Settlement was filed on February 2, 2026 indicating the matter would be dismissed no later than September 24, 2026. The matter is continued to **Monday, October 5, 2026 at 9:00 a.m. in Department 64** for status of dismissal. The Court intends to dismiss the matter without prejudice on October 5, 2026 per CRC 3.1385 unless good cause is presented. Any good cause must be presented at or before the hearing. No appearance is necessary on today's calendar.